

		30% of the gross settlement amount absent unique circumstances. Plaintiff's counsel should address at final approval whether any such unique circumstances exist here. <u>As to the notice:</u> 5. The notice should be revised consistent with the above. 6. Replace “a good deal for you” with “fair.” § 2 ¶ 2. 7. Remove “up to” with regard to amount of PAGA Penalties. § 3 ¶ 2(D). 8. Add “initially” between “also” and “decide.” § 3 ¶ 8. 9. Inform class members and aggrieved employees that settlement documents will be available on the administrator’s website for at least 180 days following entry of judgment, which occurs after the court grants final approval. § 9. <u>As to the proposed order:</u> 10. The proposed order should be revised consistent with the above. 11. The English and Spanish versions of the notice (including all forms) must be identified and exhibited to the order. ¶ 4. 12. Other than the first two sentences, paragraph 16 should be deleted. Additionally, remove the apostrophe before the second sentence in that paragraph. 13. Remove paragraph 17. Plaintiff is ordered to give notice of this ruling to the LWDA and defendants and to file a proof of service.
8	30-2018-01015248 Springs vs. SBM Site Services, LLC	Defendant SBM Site Services, LLC’s (“Defendant”) Motion for the Court to Reinstate Its Order Compelling Arbitration is GRANTED. The order granting Defendant’s Motion to Compel Arbitration in part on January 27, 2023 (ROA 206), which was vacated on January 26, 2024 (ROA 253), is deemed reinstated.

	Accordingly, this action remains stayed pending completion of the arbitration. The court GRANTS Defendant’s requests for judicial notice of the court’s January 31, 2024 Order Granting Plaintiff’s Motion to Vacate Order Compelling Arbitration, and the October 23, 2025 Opinion of the Fourth Appellate District, Third Division, in the Court of Appeal, Fourth Appellate District, Case No. G063924. (Cal. Evid. Code § 452(d).) On January 27, 2023, Judge Sherman granted Defendant’s Motion to Compel arbitration as to Plaintiff Brian Springs’ (“Plaintiff”) individual PAGA claims, but denied as to Plaintiff’s representative PAGA claims. (ROA 206.) On January 26, 2024, after Defendant failed to timely pay an arbitration fee to JAMS, Judge Sherman granted Plaintiff’s motion to vacate the order compelling arbitration, as the law at the time required strict compliance with CCP § 1281.98. (ROA 253.) “In an employment or consumer arbitration that requires, either expressly or through application of state or federal law or the rules of the arbitration provider, that the drafting party pay certain fees and costs during the pendency of an arbitration proceeding, if the fees or costs required to continue the arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach.” (CCP § 1281.98(a)(1).) In its opposition, Defendant’s counsel admitted to receiving the invoice from JAMS and the follow-up reminder e-mails from JAMS, and conceded that Defendant failed to timely pay the invoice, but argued that the JAMS invoice should have been sent to Defendant directly to trigger the 30-day deadline. Judge Sherman rejected this argument. On March 15, 2024, Defendant filed a notice of appeal of the January 26, 2024 order. (ROA 259.) The appellate court agreed with Judge Sherman’s finding that JAMS’s provision of the deposit request to Defendant’s counsel for payment of due and owing fees triggered the 30-day period provided in section 1281.98, subdivision (a). (ROA 320 at p. 14.) However, the appellate court believed Judge Sherman’s ruling had to be reversed and remanded due to a change in the law regarding CCP § 1281.98 based on a recent California Supreme Court decision in <i>Hohenshelt v. Superior Ct.</i> The appellate court instructed: “We remand to the trial court to
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		determine in the first instance whether SBM's failure to timely pay arbitration fees should be excused pursuant to the holding and reasoning of <i>Hohenshelt</i>.” (ROA 320 at p. 16.) In <i>Hohenshelt</i>, the California Supreme Court held that the penalties for failure to make timely payments of arbitration fees under Section 1281.98 could be subject to relief under certain circumstances of good faith conduct and excusable neglect. The California Supreme Court maintained that Section 1281.98 was enforceable and not preempted by the FAA, noting that “[w]ithout a rule requiring timely payment of arbitration fees and imposing meaningful consequences for willful nonpayment, companies could continue to stymie dispute resolution ‘by refusing to participate in the arbitration proceedings’ initiated by their consumers or employees.” (<i>Hohenshelt v. Superior Ct.</i> (2025) 18 Cal. 5th 310, 348.) However, the court explained: “[T]he Legislature sought to deter companies and employers from engaging in <i>strategic</i> nonpayment of arbitration fees; we find no indication that it intended to strip companies and employers of their contractual right to arbitration where nonpayment of fees results from a good faith mistake, inadvertence, or other excusable neglect.” (<i>Id.</i> at 323.) “The Legislature enacted section 1281.98 to deter strategic nonpayment and thereby remedy a ‘concerning and troubling trend’ of delay.” (<i>Id.</i>) The court noted that the Legislature in enacting 1281.98 was concerned “about nonpayment of fees as a “tactic” . . . to “indefinitely postpone” . . . resolution of employee or consumer claims.” (<i>Id.</i> at 337.) Accordingly, the court held that “[s]ection 1281.98 does not displace background statutes permitting relief to a breaching party in certain circumstances[.]” (<i>Id.</i> at 349.) The court explained that “[w]hen a party breaches its contractual obligations willfully, fraudulently, or with gross negligence, it cannot escape the consequences by pointing to a lack of harm to the other party.” (<i>Hohenshelt</i>, 18 Cal. 5th at 346.) However, “short of such wrongful conduct, a breaching party may be relieved from forfeiting its right to enforce an arbitration agreement based on the circumstances, as provided by longstanding legal principles.” (<i>Id.</i>) “[U]nder general contract law principles as under section 1281.98, a drafting party cannot avoid discharging the other party's contractual duty to proceed in arbitration if it willfully withholds fees necessary to move arbitration forward.” (<i>Hohenshelt</i>, 18 Cal. 5th at 344.) “Conversely, if the drafting party acted in good faith, it may seek relief under the above
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	statutes, and its claim should be evaluated under the usual principles in law and equity governing relief from forfeiture or default, including whether the other party has been prejudiced.” (<i>Id.</i>) “Whenever, by the terms of an obligation, a party thereto incurs a forfeiture, or a loss in the nature of a forfeiture, by reason of his failure to comply with its provisions, he may be relieved therefrom, upon making full compensation to the other party, except in case of a grossly negligent, willful, or fraudulent breach of duty.” (Cal. Civ. Code § 3275.) “[A] drafting party that has not acted willfully, fraudulently, or with gross negligence in making a late payment ‘may be relieved’ from forfeiting their right to continue the arbitration ‘upon making full compensation to the other party’ for any losses resulting from the delay.” (<i>Hohenshelt</i>, 18 Cal. 5th at 333.) In addition, “[t]he court may, upon any terms as may be just, relieve a party or the party’s legal representative from a judgment, dismissal, order, or other proceeding taken against the party through the party’s mistake, inadvertence, surprise, or excusable neglect.” (CCP § 473(b).) “Forfeitures in the nature of a penalty are not favored; and language must be so construed as to avoid a forfeiture if that is possible.” (<i>Petrovich v. City of Arcadia</i> (1950) 36 Cal. 2d 78, 84.) Defendant’s counsel states that Defendant’s failure to pay the arbitration deposit invoice was inadvertent, and not done willfully, fraudulently, or with gross negligence. Defendant’s counsel states she mistakenly and inadvertently did not identify a date certain by which the deposit request needed to be paid when she forwarded the JAMS invoice to Defendant via email. (Amaral Dec. ¶¶ 13-16.) Defendant’s counsel states that her conduct was “inadvertent” and was not done “to avoid payment, or to delay the arbitration proceedings.” (<i>Id.</i>) In supplemental briefing, Defendants provide evidence that the invoice was in process for payment prior to Plaintiff filing the Motion to Vacate, demonstrating that the delay in payment was not strategic. (ROA 374, 376, 378, 380.) Defendant contends that neither counsel nor Defendant willfully or intentionally attempted to avoid payment to cause delay, and Plaintiff presents no evidence to the contrary. Plaintiff argues that Defendant’s counsel’s conduct was intentional and strategic, but provides no evidence in support of this claim. Plaintiff contends that Defendant’s counsel failed to seek an extension, failed to inform JAMS of any delay in payment, and failed to explain to Defendant that a failure to timely pay the invoices could lead to a forfeiture of rights.
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		However, these allegations are consistent with Defendant’s counsel’s claim of mistake and inadvertent error in misunderstanding and failing to communicate the deadline to pay the JAMS invoice. The evidence does not demonstrate any strategic or tactical delay by Defendant or its counsel that would warrant penalizing Defendant for its short delay in paying the JAMS invoice. In supplemental briefing, Plaintiff appears to concede the lack of evidence of any strategic delay on Defendant’s part. Plaintiff’s judicial estoppel argument also fails as Defendant’s legal position was rejected by both Judge Sherman and the appellate court. Judicial estoppel only applies when “(1) the same party has taken two positions; (2) the positions were taken in judicial or quasi-judicial administrative proceedings; (3) the party was successful in asserting the first position (i.e., the tribunal adopted the position or accepted it as true); (4) the two positions are totally inconsistent; and (5) the first position was not taken as a result of ignorance, fraud, or mistake.” (<i>Vaghashia v. Vaghashia</i> (2024) 106 Cal. App. 5th 188, 195 [emphasis added].) Defendant’s interpretation of CCP § 1281.98 was not successfully asserted or accepted as true by either court. The court also disagrees with Plaintiff’s contention that Defendant’s counsel acted below the professional standard of care. The court finds that Defendant has met its burden to show that its counsel’s conduct was based on an inadvertent, good faith mistake, and not done willfully, fraudulently or with gross negligence. Further, Plaintiff has failed to demonstrate any actual prejudice from the delay. Accordingly, Defendant is excused from a finding of material breach for its delay in making the JAMS invoice payment pursuant to CCP § 1281.98. Defendant is ordered to give notice of this ruling.
9	30-2025-01528311 Rivera vs. Electrolurgy Manufacturing, Inc.	Off Calendar